

functions—such as Human Resources (HR), Information Technology (IT), data analytics, supply chain, manufacturing and advertising—are often not needed to run a small company. However, the lack of proactive investments in such systems and processes makes it harder for these firms to scale up without running into logistical or financial issues. We reproduce a quote from Captain Gopinath, founder of Air Deccan, which was eventually sold to Kingfisher Airlines in spite of being the pioneering low-cost carrier in India. In his book *Simply Fly*⁷ (2012), Gopinath laments: ‘Given a little more time, Deccan could have weathered the storm and overcome the cash crunch but time was running out. I might have pulled it off had my IT system not collapsed. We had to bear in mind the welfare of 4000 employees; the public insurance funds and retail investors we had to answer to.’

These problems are inflated in India because often promoters are not willing to empower professionals in senior managerial roles. Instead, the promoters stuff the Board of Directors and the senior ranks of the management team with friends and family members. The lack of a high-quality professional management team means that as and when problems arise (as they inevitably do in most companies), many smaller companies often do not have the management bandwidth to deal with them. One such example is that of TTK Prestige between 1999 and 2003, when the firm went from a position of strength to the brink of bankruptcy in just four years (see exhibit below). This downfall was due to a combination of labour issues in its manufacturing plant in Bangalore, a recessionary environment in India, stiff competition in its export markets (US), increase in excise duty on pressure cookers from 8 per cent to 16 per cent and the failed launch of a new product leading to inventory write-offs. Recollecting this troublesome period, K. Shankaran, Director at TTK Prestige, said in May 2013, ‘The biggest issue we faced was that although we had grown to a decent size, we were still running TTK Prestige as a small company. There was no segregation of responsibilities amongst senior managers and hence every senior manager was working like a jack of all trades. We had to change that.’